

For instance, we own stock at ₹2000. To create a collar option strategy, we buy a put option at a Strike Price of ₹1980 at a premium of 30.



To finance the put option premium amount, we sell a call option at a Strike Price of ₹2100 at a premium of ₹10.



So, our total cost of having this protection has come down by ₹10.
Total cost now = ₹30 – ₹10 = ₹20.